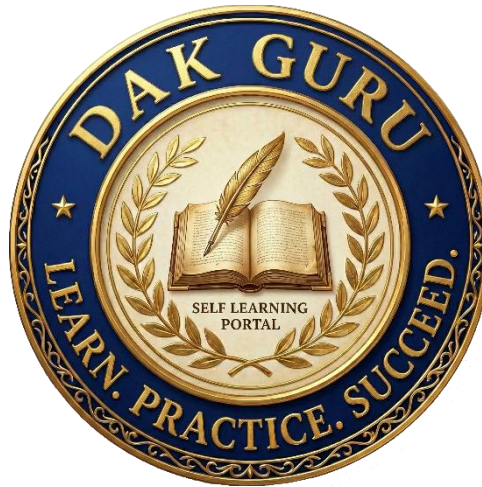




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Prevention of Money Laundering Act, 2002

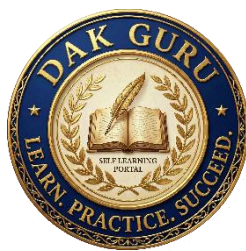
(Act 15 of 2003)

In force w.e.f. 1 July 2005 • Extends to the whole of India

A Comprehensive Study Booklet for
LDCE — Inspector Posts | PS Group 'B'

www.dakguru.com

Edition: August 2026 — updated to the latest notifications, amendment rules and Supreme Court rulings



Disclaimer & How This Booklet Was Prepared

This booklet has been prepared strictly from an examination point of view for aspirants of the Limited Departmental Competitive Examination for Inspector Posts (LDCE IP) and the PS Group 'B' examination. It is a study aid only and does not substitute the bare Act, the Rules made thereunder, or any official order.

Every statutory figure, section reference, notification and judgment cited in this edition was verified against primary and authoritative sources in August 2026 — the India Code / bare Act, gazette notifications of the Ministry of Finance (Department of Revenue), the Prevention of Money-Laundering (Maintenance of Records) Rules, 2005 as amended, and reported Supreme Court decisions. Where the law has recently changed, or where a position is contested or awaiting final decision, the text says so openly in a "Currency Alert" box rather than papering over the gap.

The Prevention of Money Laundering Act is amended frequently — chiefly through Finance Acts, delegated notifications expanding the list of "reporting entities" and "scheduled offences," and evolving case law. Readers must always confirm the current position against the latest gazette notification or official circular before relying on any provision for operational purposes.

Dak Guru's standard is zero-error accuracy verified against primary sources, with explicit flagging of uncertainty. If you spot any discrepancy with the latest official position, please write to us so the next edition can be corrected.

READER GUIDANCE

For authoritative and up-to-date text, always refer to: the bare Act on India Code, the Ministry of Finance (Department of Revenue) gazette notifications, and the Prevention of Money-Laundering (Maintenance of Records) Rules, 2005 as amended.

How to Use This Booklet

This booklet walks through the Prevention of Money Laundering Act, 2002 (PMLA) chapter by chapter in plain, exam-oriented language. Each provision is first explained in simple terms and then supported, wherever useful, by a colour-coded box. The boxes are your fast-revision layer — read the prose once, then rely on the boxes on exam eve.

THE BOX LEGEND

Quick Concept — the idea in one or two sentences.

Exam Focus — the exact point examiners repeatedly test (figures, days, thresholds).

Landmark Case — the Supreme Court ruling that fixes the current legal position.

Currency Alert — where the law has recently changed; the box gives the up-to-date position and the date/authority.

Departmental Angle — why this matters to the Department of Posts and Post Office Savings Bank specifically.

WHY PMLA IS ON YOUR SYLLABUS

The Department of Posts is expressly a “financial institution” under Section 2(1)(l) of the PMLA. Post Office Savings Bank, therefore, is a “reporting entity” with full KYC, record-keeping and reporting obligations.

The FATF Mutual Evaluation of India (adopted September 2024) specifically noted that India Post “recently became subject to the PMLA” and must effectively implement and be supervised for AML/CFT compliance. Expect questions linking PMLA to Post Office KYC norms.

What Has Changed in This Edition

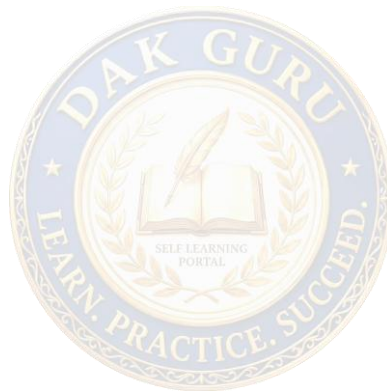
This edition corrects and updates the previous notes against the position as verified in August 2026. The most important corrections are:

Topic	Position in earlier notes	Corrected / updated position (with authority)
Appellate Tribunal — tenure	5 years or age 65	4 years, or age 70 (Chairperson) / 67 (Member) — Tribunal Reforms Act, 2021 read with Tribunal (Conditions of Service) Rules, 2021
Appellate Tribunal — identity	A separate PMLA tribunal	The SAFEMA Appellate Tribunal (ATFP), New Delhi, is the PMLA Appellate Tribunal since the Finance Act, 2016 merger; comprises a Chairperson + up to 4 Members
Beneficial owner threshold	(not covered)	“Controlling ownership interest” cut from 25% → 10% (company) and 15% → 10% (partnership/trust) — PML (Maintenance of Records) Amendment Rules, 2023 (7 Mar & 4 Sep 2023)
Reporting entities — new additions	Briefly noted	VDA service providers (notification 7 Mar 2023) and practising CA/CS/CMA doing specified financial transactions (S.O. 2036(E), 3 May 2023) confirmed; lawyers excluded
Grounds of arrest (s.19)	“Informed as soon as may be”	Must now be furnished IN WRITING — Pankaj Bansal (2023), reinforced by Prabir Purkayastha (2024)
Bail twin conditions (s.45)	Reiterated as mandatory	Correct — anchored in Vijay Madanlal Choudhary v. Union of India (27 Jul 2022), which revived the 2018-amended twin conditions after Nikesh Tarachand Shah (2017)
“financial institution” cross-ref	“section 45-1 of the RBI Act”	Reads “section 45-I of the Reserve Bank of India Act, 1934” (Roman numeral I)
Schedule — Part B threshold	(not covered)	Originally Rs. 30 lakh; 2013 amendment moved Part B into Part A; Finance Act, 2015 made Part B = s.132 Customs Act with a Rs. 1 crore threshold

Topic	Position in earlier notes	Corrected / updated position (with authority)
s.12 record retention	(not covered)	Originally 10 years from cessation of transactions; now 5 years (2013/2015 amendments)
Trial procedure code	CrPC 1973	CrPC references now read as the Bharatiya Nagarik Suraksha Sanhita, 2023 (w.e.f. 1 Jul 2024)

A WORD ON FREQUENT CHANGE

The PMLA changes more often than most Acts on your syllabus — the Schedule of predicate offences and the list of reporting entities are expanded by notification, and the case law is still developing. Treat every figure as correct “as verified in August 2026” and re-check the gazette before operational use.



CHAPTER I — PRELIMINARY

Long title. An Act to prevent money-laundering and to provide for confiscation of property derived from, or involved in, money-laundering, and for matters connected therewith or incidental thereto.

Why the Act was passed (the Preamble). The Act implements two United Nations commitments: the Political Declaration and Global Programme of Action annexed to General Assembly resolution S-17/2 adopted on 23 February 1990, and the Political Declaration of the UNGA Special Session of 8–10 June 1998, which called upon Member States to adopt national money-laundering legislation and programmes. The Act was enacted in the Fifty-third Year of the Republic.

SECTION 1 — SHORT TITLE, EXTENT AND COMMENCEMENT

Short title: the Prevention of Money-Laundering Act, 2002.

Assent (enacted): 17 January 2003 — hence **Act 15 of 2003**.

Extent: the whole of India.

Commencement: on such date as the Central Government notified — different dates could be appointed for different provisions [s.1(3)]. The operative provisions were brought into force on **1 July 2005**.

EXAM TRAP

Enacted 17 Jan 2003; came into force 1 Jul 2005. “When did the Act come into force?” = 1 July 2005 (not the assent date). Note also that s.1(3) allows staggered commencement of different provisions.

Section 2 — Definitions

A money-laundering paper stands or falls on the definitions. Each definition below is given its own entry; even the sub-clause letters are examinable.

“Adjudicating Authority” — s.2(1)(a)

An Adjudicating Authority appointed under Section 6(1). It decides whether attached or seized property is involved in money-laundering.

“Appellate Tribunal” — s.2(1)(b)

The Appellate Tribunal established under Section 25 (since the Finance Act, 2016, this role is discharged by the SAFEMA Appellate Tribunal — see Chapter VI).

“Assistant Director”, “Deputy Director”, “Director / Additional Director / Joint Director” — s.2(1)(c), (j), (k)

Each means the officer of that designation appointed under Section 49(1). These designations matter operationally: attachment and search require at least a Deputy Director; arrest may be made by an Assistant Director and above (Section 19).

“attachment” — s.2(1)(d)

Prohibition of transfer, conversion, disposition or movement of property by an order issued under Chapter III. The property is legally “frozen in place” — the owner may remain in possession but cannot deal with it.

“banking company” — s.2(1)(e)

A banking company or a co-operative bank to which the Banking Regulation Act, 1949 applies, including any bank or banking institution referred to in Section 51 of that Act.

“beneficial owner” — s.2(1)(fa)

An individual who ultimately owns or controls a client of a reporting entity, or the person on whose behalf a transaction is being conducted, and includes a person who exercises ultimate effective control over a juridical person. (Inserted by the 2013 amendment.)

CURRENCY ALERT

The quantitative test for “ultimately owns or controls” lives in the PML (Maintenance of Records) Rules: since the 2023 Amendment Rules, a **10% controlling ownership interest** (down from 25% for companies and 15% for partnerships/trusts), or control through other means.

“Bench”, “Chairperson”, “Member” — s.2(1)(f), (g), (o)

“Bench” means a Bench of the Appellate Tribunal; “Chairperson” means the Chairperson of the Appellate Tribunal; and “Member” means a Member of the Appellate Tribunal and includes the Chairperson.

“chit fund company” — s.2(1)(h)

A company managing, conducting or supervising, as foreman, agent or in any other capacity, chits as defined in Section 2 of the Chit Funds Act, 1982.

“client” — s.2(1)(ha)

A person engaged in a financial transaction or activity with a reporting entity, and includes a person on whose behalf the person who engaged in the transaction or activity is acting. (Inserted by the 2013 amendment; it pairs with “beneficial owner”.)

“co-operative bank” — s.2(1)(i)

Has the meaning assigned to it in clause (dd) of Section 2 of the Deposit Insurance and Credit Guarantee Corporation Act, 1961.

“financial institution” — s.2(1)(l)

A financial institution as defined in clause (c) of **Section 45-I** of the Reserve Bank of India Act, 1934, and **includes** a chit-fund company, a housing-finance institution, an authorised person, a payment system operator, a non-banking financial company and — importantly for you — the **Department of Posts in the Government of India**.

ORIGINAL VS CURRENT

In the Act as originally enacted (2003), this clause covered only a chit fund company, a co-operative bank, a housing finance institution and an NBFC. The **Department of Posts, authorised persons and payment system operators were added by amendment** (2009 and after). If you read the original bare Act, do not conclude that the post office is outside the PMLA — today it is squarely inside.

DEPARTMENTAL ANGLE

The express inclusion of the Department of Posts makes Post Office Savings Bank a “financial institution” and therefore a “reporting entity.” This single clause is the doorway through which the entire KYC/AML regime enters the post office.

“housing finance institution” — s.2(1)(m)

Has the meaning assigned to it in clause (d) of Section 2 of the National Housing Bank Act, 1987.

“intermediary” — s.2(1)(n)

A stock-broker, sub-broker, share transfer agent, banker to an issue, trustee to a trust deed, registrar to an issue, merchant banker, underwriter, portfolio manager, investment adviser, and any other intermediary associated with the securities market and registered under Section 12 of the SEBI Act, 1992.

“investigation” — s.2(1)(na)

Includes all the proceedings under the Act conducted by the Director, or by an authority authorised by the Central Government under the Act, for the collection of evidence.

“money-laundering” — s.2(1)(p)

Has the meaning assigned to it in Section 3 — the definition clause simply points to the offence clause.

“non-banking financial company” — s.2(1)(q)

Has the meaning assigned to it in clause (f) of Section 45-I of the Reserve Bank of India Act, 1934.

“notification” and “prescribed” — s.2(1)(r), (t)

“Notification” means a notification published in the Official Gazette; “prescribed” means prescribed by rules made under the Act. Much of the PMLA’s operational detail (records, thresholds, KYC) sits in the Rules, not the Act.

“payment system” & “payment system operator” — s.2(1)(rb)/(rc)

A “payment system” enables payment between a payer and a beneficiary, involving clearing, payment or settlement service (or all of them), and expressly includes credit-card, debit-card, smart-card and money-transfer operations. A “payment system operator” operates such a system and includes its overseas principal (an individual, Karta of an HUF, or a company/firm/AOP/BOI/artificial juridical person residing or incorporated outside India that owns, controls or manages the payment system in India).

“person” — s.2(1)(s)

An inclusive definition covering: (i) an individual; (ii) a Hindu undivided family; (iii) a company; (iv) a firm; (v) an association of persons or body of individuals, whether incorporated or not; (vi) every artificial juridical person not already covered; and (vii) any agency, office or branch owned or controlled by any of the above.

EXAM TRAP

A “minor child acting independently” is NOT a separate category — a child falls within “an individual” only in the ordinary sense. Watch for “Which is NOT included?” questions.

“person carrying on designated business or profession” — s.2(1)(sa)

This clause (inserted by amendment) is the expansion valve of the reporting-entity regime. It covers:

- a person carrying on activities for playing games of chance for cash or kind, including a casino;
- the Inspector-General of Registration under the Registration Act, 1908 (Registrars / Sub-Registrars), as notified;
- a real estate agent, as notified;
- a dealer in precious metals, precious stones and other high-value goods, as notified;
- a person engaged in safekeeping and administration of cash and liquid securities on behalf of others, as notified; and

- a person carrying on **such other activities as the Central Government may notify** — sub-clause (vi), the hook on which the 2023 notifications for VDA service providers (7 Mar 2023) and practising CA/CS/CMA (S.O. 2036(E), 3 May 2023) hang.

“proceeds of crime” — s.2(1)(u) [the heart of the Act]

Any property derived or obtained, directly or indirectly, by any person as a result of criminal activity relating to a scheduled offence — or the value of any such property — and, where the property is taken or held outside the country, the property equivalent in value held within the country or abroad.

Explanation (inserted by the Finance (No. 2) Act, 2019, by way of clarification): “*proceeds of crime*” includes property not only derived from the scheduled offence but also any property which may directly or indirectly be derived or obtained as a result of any criminal activity relatable to the scheduled offence.

ORIGINAL VS CURRENT

The original 2003 definition stopped at “or the value of any such property.” The **value-equivalent limb** (property held abroad → equivalent value in India or abroad) and the 2019 Explanation were added by later amendments. The current, wider definition is the one to reproduce in the exam.

LANDMARK CASE — THE “SCHEDULED OFFENCE” TETHER

Vijay Madanlal Choudhary v. Union of India (Supreme Court, 27 July 2022) held that there can be no “proceeds of crime,” and hence no money-laundering, without a scheduled (predicate) offence. If the accused is finally acquitted of or discharged from the predicate offence, the PMLA proceedings on the same facts cannot survive.

“offence of cross-border implications” — s.2(1)(ra)

- Conduct abroad that would have been a Part A / B / C Schedule offence if committed in India, where the person transfers the proceeds (or part) to India; OR
- A Part A / B / C Schedule offence committed in India where the proceeds (or part) have been, or an attempt is made to be, transferred outside India.

“property” — s.2(1)(v)

Any property or assets of every description — corporeal or incorporeal, movable or immovable, tangible or intangible — and includes deeds and instruments evidencing title to, or interest in, such property, wherever located. The words “wherever located” give the Act its long, cross-border reach.

“records” — s.2(1)(w)

Include the records maintained in the form of books or stored in a computer or such other form as may be prescribed.

“reporting entity” — s.2(1)(wa)

A banking company, financial institution, intermediary, or a person carrying on a designated business or profession. This is the compliance backbone of the Act — all KYC and reporting duties in Chapter IV attach to “reporting entities.” (In the original 2003 Act, Chapter IV named only “banking companies, financial institutions and intermediaries”; the unified “reporting entity” concept came by the 2013 amendment.)

RECENT EXPANSION OF “REPORTING ENTITY” / “DESIGNATED BUSINESS”

Virtual Digital Assets (crypto): by notification dated 7 March 2023, virtual-digital-asset service providers (exchange of VDAs for fiat or other VDAs, transfer, safekeeping/administration, and provision of financial services around a VDA offer) are “persons carrying on designated business or profession,” and hence reporting entities that must register with FIU-IND.

Practising professionals (CA / CS / CMA): by notification S.O. 2036(E) dated 3 May 2023, practising Chartered Accountants, Company Secretaries and Cost & Management Accountants are covered when they carry out specified financial transactions for a client (buying/selling immovable property; managing money, securities or accounts; company or trust formation; buying/selling business entities). Lawyers were kept outside this notification.

“Schedule” and “scheduled offence” — s.2(1)(x), (y)

“Schedule” means the Schedule to the Act — the list of predicate offences. “Scheduled offence” means:

Part of Schedule	When it is a “scheduled offence”
Part A	Always — no monetary threshold (e.g., NDPS, listed IPC/BNS offences, PC Act, etc.)
Part B	Only if the total value involved is Rs. 1 crore or more
Part C	Always — trans-border / cross-border offences

THE THRESHOLD HAS A HISTORY — A CLASSIC TRAP

In the **original 2003 Act**, the Part B threshold was **Rs. 30 lakh**, and Part A contained only IPC ss.121/121A and the NDPS offences. The **2013 amendment moved the entire Part B list into Part A** (abolishing the threshold for those offences); the **Finance Act, 2015** then made Part B consist of Section 132 of the Customs Act, 1962 alone, with a **Rs. 1 crore** threshold. Part C (cross-border offences) was inserted by the 2009 amendment. If an old question paper says “30 lakh,” that answer is dead.

Part of Schedule	When it is a “scheduled offence”
EXAM FOCUS Only Part B carries the Rs. 1 crore threshold. Parts A and C apply regardless of amount.	

“Special Court” — s.2(1)(z)

A Court of Session designated as Special Court under Section 43(1).

“transfer” — s.2(1)(za)

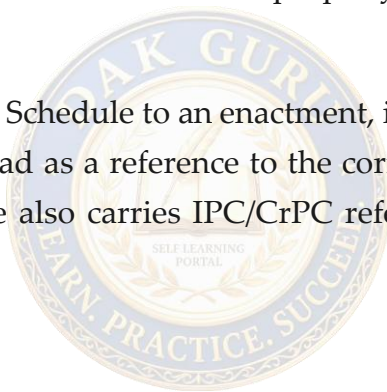
Includes sale, purchase, mortgage, pledge, gift, loan or any other form of transfer of right, title, possession or lien. Note how wide this is — even a pledge or a loan is a “transfer” for attachment purposes.

“value” — s.2(1)(zb)

The fair market value of the property on the date of its acquisition by any person, or, if that date cannot be determined, the date on which the property is possessed by such person.

Corresponding law — s.2(2)

Any reference in the Act or the Schedule to an enactment, in relation to an area where that enactment is not in force, is read as a reference to the corresponding law in force in that area. (Today, this reading rule also carries IPC/CrPC references over to the BNS/BNSS, 2023.)



CHAPTER II — OFFENCE OF MONEY-LAUNDERING

Section 3 — The Offence of Money-Laundering

Whosoever directly or indirectly attempts to indulge, or knowingly assists, or knowingly is a party, or is actually involved in any process or activity connected with the proceeds of crime — including its concealment, possession, acquisition or use, and projecting or claiming it as untainted property — is guilty of the offence of money-laundering.

The six triggering activities (any one is enough)

- (a) concealment; (b) possession; (c) acquisition; (d) use; (e) projecting as untainted property; (f) claiming as untainted property — in any manner whatsoever.

ORIGINAL VS CURRENT

The original 2003 text read simply “...connected with the proceeds of crime *and projecting it as untainted property.*” The words “concealment, possession, acquisition or use” and “or claiming” were added by the **2013 amendment**, and the two clarificatory Explanations (six independent limbs; continuing offence) by the **Finance (No. 2) Act, 2019**. Reproduce the current, wider text in the exam.

TWO CLARIFICATIONS BUILT INTO SECTION 3

1. Independent limbs. A person is guilty if found to have done any one or more of the six activities — you do not need all of them.

2. Continuing offence. *Money-laundering is a continuing activity* — it continues so long as the person is, directly or indirectly, enjoying the proceeds of crime. The offence does not “end” on the day of the original act.

WORKED EXAMPLE

Mr. X knowingly assists Mr. Y in concealing drug money but never uses it. Guilty? **Yes** — “knowingly assisting” in “concealment” is itself the offence under Section 3; personal use is not required.

Section 4 — Punishment for Money-Laundering

Rigorous imprisonment for a term **not less than 3 years**, which may extend to **7 years**, and also liable to fine.

- Enhanced ceiling for narcotics offences: where the proceeds relate to an offence under paragraph 2 of Part A of the Schedule (the NDPS Act, 1985), the maximum extends to **10 years** instead of 7.

THE FINE HAS NO CEILING

The original Section 4 capped the fine at **Rs. 5 lakh** — you can see the cap in the 2003 bare Act. **That cap was deleted by the 2012 amendment**, so today the court may impose any fine it thinks fit. Older MCQs answering “Rs. 5 lakh” are outdated.

EXAM FOCUS

3 → 7 years (general); **3 → 10 years** (drugs). Imprisonment is **rigorous**, plus fine with no ceiling.



CHAPTER III – ATTACHMENT, ADJUDICATION & CONFISCATION

Section 5 – Provisional Attachment of Property

Who may attach: the Director, or any officer not below the rank of Deputy Director authorised by the Director.

On the basis of material in his possession, and after recording in writing his reasons to believe that (a) a person is in possession of proceeds of crime, and (b) those proceeds are likely to be concealed, transferred or dealt with so as to frustrate confiscation, the officer may, by written order, provisionally attach the property.

Point	Position under Section 5
Maximum duration	180 days from the date of the order (then it lapses unless confirmed) [s.5(1) read with s.5(3)]
Copy to Adjudicating Authority	Forwarded immediately, with the material, in a sealed envelope [s.5(2)]
Complaint to be filed	Within 30 days of attachment, before the Adjudicating Authority [s.5(5)]
When the order ceases	On expiry of the 180 days, or on the date of an order under s.8(2)/(3), whichever is earlier [s.5(3)]
Effect on the owner	Attachment does NOT dispossess; enjoyment of immovable property may continue provided it does not frustrate confiscation [s.5(4)]
“Person interested”	In relation to immovable property, includes all persons claiming or entitled to claim any interest in it [Explanation to s.5(4)]

ORIGINAL VS CURRENT – SECTION 5

In the original 2003 Act, provisional attachment lasted only **90 days**, required that the person had been **charged** with a scheduled offence, and could not issue unless a police report under s.173 CrPC had been forwarded to the Magistrate (or an NDPS complaint filed). Amendments (chiefly 2013) raised the period to **180 days**, dropped the “charged” requirement, and added a proviso permitting attachment of *any person’s* property where immediate non-attachment is likely to frustrate the confiscation proceedings. The current, belief-based scheme is the examinable one.

LANDMARK CASE

Point	Position under Section 5
Vijay Madanlal Choudhary (2022) upheld the constitutional validity of the Section 5 attachment power, holding that the safeguards (recorded reasons, time limits, adjudication, judicial review) make it a fair and reasonable procedure. EXAM FOCUS 180 days = life of a provisional attachment (originally 90); 30 days = time to file the complaint; Deputy Director = minimum rank to attach.	

Section 6 — Adjudicating Authorities: Composition, Benches, Tenure

The Central Government appoints, by notification, one or more Adjudicating Authorities [s.6(1)]. An Adjudicating Authority consists of a **Chairperson and two other Members**, and the proviso requires **one Member each** with experience in the field of law, administration, finance or accountancy [s.6(2)]. The Central Government appoints one of the Members as Chairperson [s.6(4)].

Qualifications for a Member [s.6(3)]

- **In the field of law:** qualified for appointment as a District Judge, or has been a Member of the Indian Legal Service holding a Grade I post.
- **In the field of finance, accountancy or administration:** such qualifications as may be prescribed.

Benches and internal working [s.6(5)–(7)]

- Jurisdiction may be exercised by Benches; a Bench is constituted by the Chairperson with one or two Members.
- Benches ordinarily sit at New Delhi, and at such other places as the Central Government notifies in consultation with the Chairperson; the areas of each Bench are notified by the Central Government.
- The Chairperson may transfer a Member from one Bench to another, and may transfer a case that ought to be heard by a two-Member Bench.

Tenure, vacancy, resignation, removal [s.6(8)–(14)]

Point	Position
Term of office	5 years from entering office, or till age 65 , whichever is earlier (the original 2003 Act said age 62; raised by amendment)
Service conditions	Salary/allowances as prescribed; cannot be varied to the Member's disadvantage after appointment [s.6(9)]
Vacancy	Filled by fresh appointment; proceedings continue from the stage at which the vacancy is filled [s.6(10)]

Point	Position
Resignation	By written notice; the incumbent continues up to 3 months, or till a successor joins, or till the term ends — whichever is earliest [s.6(11)]
Removal	Only by Central Government order after giving an opportunity of hearing [s.6(12)]
Chairperson's absence/vacancy	The senior-most Member acts as / discharges the functions of the Chairperson [s.6(13)–(14)]
Procedure	NOT bound by the CPC, 1908; guided by natural justice; regulates its own procedure [s.6(15)]

DO NOT CONFUSE TWO TENURES

The **Adjudicating Authority** (this section) keeps its **5 years / age 65** term — it is not a “tribunal” under the Tribunal Reforms Act, 2021. The **Appellate Tribunal** (Chapter VI) now has a DIFFERENT term — 4 years / 70 / 67 — explained later. Keep the two separate in the exam.

Section 7 — Staff of the Adjudicating Authorities

The Central Government provides each Adjudicating Authority with officers and employees, who discharge their functions under the general superintendence of the Chairperson. Their salaries, allowances and service conditions are as prescribed.

Section 8 — Adjudication

On receipt of a complaint under s.5(5), or an application under s.17(4) or s.18(10), if the Adjudicating Authority has reason to believe that a person has committed an offence under Section 3 or is in possession of proceeds of crime, it serves a notice of **not less than 30 days** calling upon the person to indicate the sources of income, earnings or assets out of which the attached/seized property was acquired, the evidence relied on, and to show cause why the property should not be declared involved in money-laundering and confiscated.

Who else must get the notice [provisos to s.8(1)]

- Where the notice specifies property held by a person **on behalf of another**, a copy must also be served on that other person.
- Where the property is held **jointly**, the notice must be served on all joint holders.

The decision [s.8(2)–(3)]

- The Authority decides after considering the reply, hearing the aggrieved person and the Director (or authorised officer), and taking all relevant material on record.

- A **third party** who claims the property (though not noticed) must also be given an opportunity of being heard to prove the property is not involved in money-laundering.
- If the property is held involved in money-laundering, the attachment/retention is confirmed in writing and **continues** during the pendency of proceedings before any court, and during investigation for a period **not exceeding 365 days** [s.8(3)]. Any period during which the investigation is stayed by a court is excluded from the 365 days.
- On confirmation, the Director (or authorised officer) **forthwith takes possession** of the attached property [s.8(4)].

On conclusion of a trial, if the **Special Court** finds that the offence of money-laundering has been committed, it orders that the property involved (or used in the commission of the offence) **stands confiscated to the Central Government**; if it finds the offence not proved, it orders release to the person entitled. A claimant with a legitimate interest, acting in good faith and having suffered a quantifiable loss, may seek restoration.

ORIGINAL VS CURRENT – SECTION 8

Under the original 2003 scheme, confiscation followed the fate of the *scheduled-offence trial* (attachment became final on conviction; ceased on acquittal), and the Adjudicating Authority itself passed the confiscation order. The current scheme (2013 amendment onward) vests **confiscation in the Special Court** on conclusion of the money-laundering trial, with the 365-day investigation ceiling on continued attachment.

EXAM FOCUS

30 days notice → **365 days** continued attachment during investigation → confiscation by the **Special Court** (not the Adjudicating Authority) on conclusion of trial.

Section 9 – Vesting of Property in the Central Government

On an order of confiscation, all rights and title in the property vest absolutely in the Central Government, free from all encumbrances. Where the Special Court or Adjudicating Authority finds that an encumbrance or leasehold interest was created to defeat the Chapter, it may (after hearing the interested person) declare that encumbrance void, and the property then vests free of it.

- **Second proviso – often missed:** declaring an encumbrance void does not discharge the person who created it from liability; the encumbrance-holder can still enforce that liability against them by a suit for damages.

Section 10 – Management of Confiscated Property

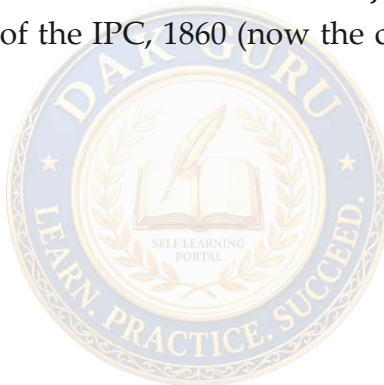
The Central Government may, by Official Gazette order, appoint officers **not below the rank of a Joint Secretary** to the Government of India to act as **Administrator**. The

Administrator (i) receives and manages the property covered by a confiscation order, in the prescribed manner and subject to prescribed conditions, and (ii) takes such measures as the Central Government directs to **dispose of** property vested in the Central Government under Section 9.

Section 11 – Powers of the Adjudicating Authority (Summons & Evidence)

The Adjudicating Authority has the same powers as a civil court under the CPC, 1908 in respect of: (a) discovery and inspection; (b) enforcing attendance (including of officers of a banking company, financial institution or company) and examination on oath; (c) compelling production of records; (d) receiving evidence on affidavit; (e) issuing commissions; and (f) any other prescribed matter.

- All persons summoned are bound to attend (in person or through authorised agents as directed), to state the truth on any subject on which they are examined, and to produce the documents required [s.11(2)].
- Every proceeding under the section is **deemed a judicial proceeding** within the meaning of ss.193 and 228 of the IPC, 1860 (now the corresponding provisions of the BNS, 2023) [s.11(3)].



CHAPTER IV — OBLIGATIONS OF REPORTING ENTITIES

The original 2003 chapter was titled “Obligations of Banking Companies, Financial Institutions and Intermediaries.” The 2013 amendment replaced that trio with the single, wider concept of the **reporting entity**, and inserted ss.11A and 12AA later still. The sections below give the current position.

Section 11A — Verification of Identity (Aadhaar / OVD)

Reporting entities must verify the identity of clients and beneficial owners. Verification may be by Aadhaar authentication (for entities notified and permitted), offline Aadhaar verification, a passport, or any other officially valid document notified by the Central Government. The obligation to ensure compliance rests on the reporting entity itself.

Section 12 — Reporting Entity to Maintain Records

Obligation	Retention period
(a) Records of all transactions (enabling reconstruction of individual transactions)	5 years from the date of transaction
(b) Furnish prescribed information on transactions (attempted or executed) to the Director	Within the prescribed time
(c) Records of documents evidencing identity of clients and beneficial owners, account files and business correspondence	5 years after the business relationship ends or the account is closed, whichever is later

- **Structured / undervalued transactions:** the original Act already required the principal officer to report where a single transaction, or an integrally-connected series within a month, appears to have been kept below the prescribed value *so as to defeat the section* — the anti-smurfing rule.

All information maintained, furnished or verified is to be kept confidential (save as otherwise provided by law).

ORIGINAL VS CURRENT — RETENTION PERIOD

The original s.12(2) required records to be kept for **ten years** from cessation of the transactions. The period is now **five years**, counted as shown in the table (2013/2015 amendments). “10 years” is another dead answer from old papers.

2023 AMENDMENT RULES — GROUP-WIDE PROGRAMMES & BENEFICIAL OWNERSHIP

Group-wide AML/CFT programmes: the PML (Maintenance of Records) Amendment Rules, 2023 require reporting entities to implement group-wide programmes against money-laundering and terror financing, including policies for sharing information within the group for Client Due Diligence.

Beneficial-owner threshold lowered: “controlling ownership interest” was cut from 25% → 10% for a company client (7 March 2023) and from 15% → 10% for a partnership firm / trust (4 September 2023). A person exercising control “through other means” is also a beneficial owner.

Foreign PEPs defined; and only management-level officers may be designated as the Principal Officer.

Section 12AA – Enhanced Due Diligence

Before commencing a **specified transaction**, a reporting entity must carry out **enhanced due diligence** — examine the ownership and financial position of the client, the source of funds, and the purpose of the transaction, and record its findings. Where the entity is unable to complete due diligence, it must not carry out the transaction and must consider filing a suspicious transaction report.

Section 13 – Power of the Director to Impose Fine

The Director may, of his own motion or on application, call for the records referred to in s.12(1) and make (or cause to be made) such inquiry as he thinks fit. If, on inquiry, he finds a reporting entity, its designated director or an employee has failed to comply with Chapter IV obligations, he may: (a) issue a written warning; (b) direct compliance with specific instructions; (c) direct periodic reports on remedial measures; or (d) by order, impose a monetary penalty. A copy of the order goes to every party to the proceedings.

PENALTY UNDER S.13(2)(D)

Not less than Rs. 10,000, extending up to **Rs. 1,00,000**, for *each* failure.

Section 14 – Good-faith Protection

No civil or criminal proceedings lie against a reporting entity, its directors or employees for furnishing information to the Director in good faith. This protection is what allows honest reporting without fear of customer litigation.

Section 15 — Procedure of Furnishing Information

The Central Government, **in consultation with the Reserve Bank of India**, prescribes the procedure and manner of maintaining and furnishing information under s.12(1). This is the statutory root of the PML (Maintenance of Records) Rules, 2005.



CHAPTER V — SUMMONS, SEARCHES, SEIZURES, ARREST & PRESUMPTIONS

Section 16 — Power of Survey

An authority who has, on the basis of material in his possession, reason to believe (recorded in writing) that an offence under Section 3 has been committed, may enter any place within the limits of the area assigned to him (or a place for which he is authorised by the officer to whom that area is assigned) at which any act constituting the commission of the offence is carried on.

- **“Place” is wide:** by the Explanation, it includes any other place — whether or not any activity is carried on there — which the person states is where his records or property relating to the act are kept.
- **What the occupier must do:** afford the facility to inspect records available at the place; afford the facility to check or verify the proceeds of crime or related transactions; and furnish information useful for or relevant to proceedings under the Act.
- **What the authority may do [s.16(3)]:** place marks of identification on records inspected and take extracts/copies; make an inventory of property checked or verified; and record the statement of any person present.
- **Accountability:** immediately after the survey, the recorded reasons and material are forwarded to the Adjudicating Authority in a sealed envelope [s.16(2)].

Section 17 — Search and Seizure

Where the Director (or an authorised officer not below **Deputy Director**) has reason to believe (recorded in writing), on the basis of information in his possession, that a person has committed money-laundering, or possesses proceeds of crime, or records relating to money-laundering, or property related to crime, he may authorise a subordinate officer to:

- enter and search any building, place, vessel, vehicle or aircraft;
- break open the lock of any door, box, locker, safe, almirah or other receptacle where the keys are not available;
- seize any record or property found; place identification marks; make extracts/inventory; and examine on oath any person in possession or control;
- where seizure is not practicable, **freeze** the record or property (an order that it not be dealt with without permission).
- **Urgent search on survey information [s.17(3)]:** where, on information obtained during a survey under s.16, the authority is satisfied that evidence is likely to be concealed or

tampered with, he may — for reasons recorded in writing — enter, search and seize that evidence **without a fresh s.17(1) authorisation**.

The officer must, within **30 days** of seizure or freezing, apply to the Adjudicating Authority for retention/continuation, and immediately forward the recorded reasons and material in a sealed envelope.

ORIGINAL VS CURRENT — THE DELETED PRE-CONDITION

The original s.17 (and s.18) barred any search unless a police report under **s.173 CrPC** had already been forwarded to a Magistrate (or an NDPS complaint filed). That proviso was **omitted by the Finance (No. 2) Act, 2019** — the ED can now search on its own recorded belief, without waiting for a police charge-sheet. Vijay Madanlal Choudhary (2022) upheld the amended scheme.

Section 18 — Search of Persons

An authority (authorised by the Central Government) with recorded reason to believe that a person has secreted about them, or in anything under their possession, ownership or control, any record or proceeds of crime relevant to proceedings under the Act, may search that person and seize such record or property.

- **Right to be taken before a superior [s.18(3)–(5)]**: if the person so requires, they must be taken **within 24 hours** (excluding journey time) to the nearest Gazetted Officer superior in rank, or a Magistrate — and cannot be detained beyond 24 hours for that purpose. If that officer/Magistrate sees **no reasonable ground**, the person is discharged forthwith; otherwise the search proceeds.
- **Witnesses [s.18(6)–(7)]**: the search is made in the presence of **two or more witnesses**, and a list of everything seized is prepared and signed by the witnesses.
- **Search of women [s.18(8)]**: **no female shall be searched by anyone except a female**.
- **Statement and retention [s.18(9)–(10)]**: the statement of the person searched is recorded in respect of what is found; and within **30 days** of seizure the authority applies to the Adjudicating Authority for retention.

Section 19 — Power to Arrest

The Director, Deputy Director, Assistant Director or authorised officer, who on the basis of material in his possession has reason to believe (recorded in writing) that a person is **guilty of an offence punishable under the Act**, may arrest that person and **must inform them of the grounds of arrest** as soon as may be. A copy of the order and material is forwarded to the Adjudicating Authority in a sealed envelope. Every person arrested must be produced before a **Special Court or Judicial Magistrate or Metropolitan Magistrate**

within **24 hours** (excluding journey time). (The original 2003 text mentioned only the Magistrate; the Special Court was added by the 2013 amendment.)

GROUND OF ARREST MUST NOW BE IN WRITING

Pankaj Bansal v. Union of India (Supreme Court, 3 October 2023) held that, henceforth, the grounds of arrest under Section 19 must be furnished to the arrested person **in writing** — oral communication is not enough.

Prabir Purkayastha v. State (NCT of Delhi) (Supreme Court, 15 May 2024) reinforced this, treating written grounds as a facet of the fundamental right under Article 22(1).

LANDMARK CASE — ARREST POWER UPHELD

Vijay Madanlal Choudhary (2022) upheld Section 19 as constitutionally valid, given the built-in safeguards (recorded reasons, informing grounds, production before court, sealed-envelope scrutiny).

Section 20 — Retention of Property

Property seized under s.17 or s.18 (or frozen) may be retained — on the authorised officer's recorded reason to believe that it is required for adjudication under s.8 — for a period **not exceeding 180 days** from the date of seizure/freezing. The retention order and material go to the Adjudicating Authority in a sealed envelope.

- Before permitting retention **beyond** the period, the Adjudicating Authority must satisfy itself that the property is **prima facie involved in money-laundering** and is required for adjudication [s.20(4)].
- On expiry, the property is returned to the person from whom it was seized (or whose property was frozen), unless retention is extended [s.20(3)].
- After the confiscation order, all property *other than* that involved in money-laundering is released to the person entitled [s.20(5)].
- **Withholding for appeal [s.20(6)]**: the Director (or authorised officer) may withhold release for up to **90 days** from the release order, if the property is relevant for the appeal proceedings. (The original Act said 45 days; raised to 90 by the Finance (No. 2) Act, 2019.)

Section 21 — Retention of Records

Seized or frozen **records** follow the same timetable: retention up to **180 days**, extension only if the Adjudicating Authority is satisfied they are required for adjudication, return on expiry, release after confiscation, and withholding up to **90 days** for appeal.

A RIGHT OFTEN MISSED — S.21(2)

The person from whom records were seized is **entitled to obtain copies** of the records retained. Business need not stop because the originals are with the ED.

Section 22 — Presumption as to Records or Property

Where records or property are found in a person's possession or control (in a survey/search) or are produced/seized/frozen, it is presumed that: (i) the records or property belong to that person; (ii) the contents of the records are true; and (iii) the signature/handwriting is that of the person it purports to be.

- **Foreign records [s.22(2)]:** records received from outside India, duly authenticated in the prescribed manner, carry the same signature/handwriting presumption — and are admitted in evidence **even if not duly stamped**, provided they are otherwise admissible.

Section 23 — Presumption in Inter-connected Transactions

Where money-laundering involves two or more inter-connected transactions and one or more of them is proved to be involved in money-laundering, then — for adjudication, confiscation or trial — it is presumed, unless otherwise proved, that the remaining transactions form part of the same inter-connected transactions.

Section 24 — Burden of Proof (Reverse Onus)

Situation	Who bears the burden
Person charged with money-laundering	The accused — the Authority/Court shall presume the proceeds are involved in money-laundering, unless the contrary is proved
Any other person	The Authority/Court may presume such proceeds are involved in money-laundering

LANDMARK CASE

Vijay Madanlal Choudhary (2022) upheld the reverse burden under Section 24 as valid, given the special nature of the offence and the presumption of innocence still applying to the foundational facts the prosecution must first establish.

CHAPTER VI – APPELLATE TRIBUNAL

READ THIS FIRST – THE TRIBUNAL HAS BEEN RESTRUCTURED

Merger (Finance Act, 2016): the separate PMLA Appellate Tribunal was merged into the **Appellate Tribunal for Forfeited Property (ATFP)** set up under the Smugglers and Foreign Exchange Manipulators (Forfeiture of Property) Act, 1976 (SAFEMA). Since then, the SAFEMA tribunal (New Delhi, Lok Nayak Bhawan) hears PMLA appeals as well. It presently comprises a Chairperson and up to **four Members**.

Tenure (Tribunal Reforms Act, 2021): the Chairperson and Members now hold office for **4 years**, subject to an upper age of **70 years (Chairperson)** and **67 years (Member)**, read with the Tribunal (Conditions of Service) Rules, 2021. Appointments are made by the Central Government on the recommendation of a Search-cum-Selection Committee. The old “5 years / age 65” and the PMLA’s own sections on appointment/removal (ss. 27–34) are effectively displaced by this framework.

Section 25 – The Appellate Tribunal

The Appellate Tribunal (i.e., the SAFEMA/ATFP tribunal) hears appeals against orders of the Adjudicating Authority and the other authorities under the Act (including fine orders passed by FIU-IND).

Section 26 – Appeal to the Appellate Tribunal

Point	Position
Who may appeal	The Director, or any person aggrieved by an order of the Adjudicating Authority [s.26(1)]; and any reporting entity aggrieved by an order of the Director under s.13(2) [s.26(2)]
Time limit	45 days from receipt of the order, in the prescribed form with the prescribed fee; the Tribunal may condone delay for sufficient cause after hearing [s.26(3)]
Tribunal’s powers	After hearing the parties, it may confirm, modify or set aside the order appealed against; copies of its order go to the parties and the concerned Adjudicating Authority / Director [s.26(4)–(5)]
Disposal endeavour	Finally dispose of the appeal within 6 months from the date of filing [s.26(6)]

Section 35 — Procedure and Powers of the Tribunal

The Tribunal is not bound by the CPC, 1908; it is guided by natural justice and regulates its own procedure. For discharging its functions it has the same powers as a civil court in respect of: summoning and enforcing attendance and examination on oath; discovery and production of documents; receiving evidence on affidavit; requisitioning public records (subject to the Evidence Act privilege provisions); issuing commissions; reviewing its decisions; dismissing a representation for default or deciding ex parte; and setting aside such dismissal or ex parte order.

- **Execution [s.35(3)–(4)]:** the Tribunal's order is executable by it **as a decree of a civil court**; it may also transmit the order to a civil court of local jurisdiction, which executes it as its own decree.
- **Judicial character [s.35(5)]:** proceedings before the Tribunal are deemed judicial proceedings (IPC ss.193/228 — now the corresponding BNS provisions), and the Tribunal is deemed a civil court for ss.345–346 CrPC (now the corresponding BNSS provisions).

Section 36 — Distribution of Business Amongst Benches

Where Benches are constituted, the Chairperson may, by notification, distribute the Tribunal's business amongst the Benches and specify the matters each Bench may deal with.

Section 37 — Power of the Chairperson to Transfer Cases

On a party's application (after notice and hearing) or on his own motion, the Chairperson may transfer any case pending before one Bench to any other Bench.

Section 38 — Decision to be by Majority

If the two Members of a Bench differ, they state the point(s) of difference and refer them to the Chairperson, who either hears the point himself or refers it to one or more other Members; the point is decided by the opinion of the majority of the Members who have heard the case, including those who first heard it.

Section 39 — Authorised Representatives and Presenting Officers

An appellant may appear in person or through an authorised representative (as defined in s.288(2) of the Income-tax Act, 1961). The Central Government or the Director may authorise representatives or officers to act as presenting officers before the Tribunal.

Section 40 — Members etc. to be Public Servants

The Chairperson, Members, and other officers and employees of the Appellate Tribunal, the Adjudicating Authority, the Director and the officers subordinate to him are **deemed to be public servants** within the meaning of s.21 of the IPC, 1860 (now s.2(28) of the BNS, 2023).

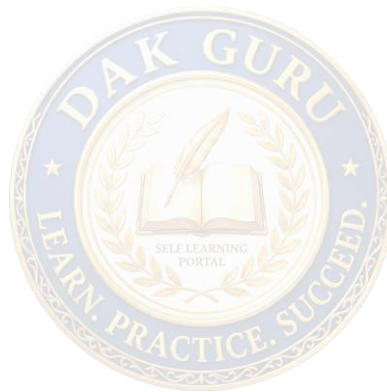
EXAM FOCUS — THE APPEAL TIMELINE LADDER

Adjudicating Authority → Appellate Tribunal: 45 days.

Appellate Tribunal → High Court (s.42): 60 days from communication of the decision (on a question of law or fact).

Section 41 — Civil Court's Jurisdiction Barred

No civil court has jurisdiction to entertain any suit or proceeding in respect of any matter the Director, an Adjudicating Authority or the Appellate Tribunal is empowered to determine, and no injunction may be granted against action taken under the Act.



CHAPTER VII — SPECIAL COURTS

Section 42 — Appeal to the High Court

Any person aggrieved by a decision or order of the Appellate Tribunal may appeal to the High Court **within 60 days** of communication of the decision, on any question of law or fact. The High Court may, for sufficient cause, allow a further period **not exceeding 60 days**.

- **Which High Court? (Explanation)** The High Court within whose jurisdiction the aggrieved party ordinarily resides, carries on business or personally works for gain; where the Central Government is the aggrieved party, the High Court where the respondent (or any of them) resides or carries on business.

Section 43 — Special Courts

The Central Government, **in consultation with the Chief Justice of the High Court** (of the State in which the Sessions Court was functioning), designates by notification one or more Courts of Session as Special Court(s) — for such area(s), or for such case or class or group of cases, as specified.

- **s.43(2):** while trying an offence under the Act, the Special Court **also tries any other offence** with which the accused may, under the Code, be charged at the same trial.

Section 44 — Offences Triable by Special Courts

Notwithstanding anything in the Code: (a) an offence under Section 4, and any scheduled offence connected with it, is triable **only by the Special Court** for the area where the offence was committed; and (b) the Special Court may, on a complaint by the authorised authority, **take cognizance without the accused being committed** to it for trial. The Special Court may try the scheduled offence and the money-laundering offence **together**. The trial follows the CrPC, 1973 (now the **Bharatiya Nagarik Suraksha Sanhita, 2023**, w.e.f. 1 July 2024) as applicable to a Court of Session. The High Court's special powers as to bail (s.439 CrPC / corresponding BNSS provision) are unaffected.

EXAM FOCUS

Special Court = a **Court of Session** designated in consultation with the **Chief Justice of the High Court**. It can try the scheduled offence and money-laundering **simultaneously**, and takes cognizance on complaint — no committal needed.

Section 45 — Offences to be Cognizable and Non-bailable; the “Twin Conditions”

Offences under the Act are **cognizable and non-bailable**. No person accused of an offence under the Act shall be released on bail unless the **twin conditions** are satisfied:

- (1) the **Public Prosecutor** has been given an opportunity to oppose the bail application; and
- (2) where the Prosecutor opposes it, the court is satisfied that there are reasonable grounds to believe the accused is **not guilty** of the offence and is **not likely to commit any offence** while on bail.

Relaxation (the proviso)

A person who is under the age of **16 years**, or is a **woman**, or is **sick or infirm**, or is accused of laundering a sum of **less than Rs. 1 crore**, may be released on bail if the Special Court so directs — the twin conditions are relaxed for these categories. (The Rs. 1 crore category was added by amendment; the original proviso had only the first three.)

Cognizance and investigation

- The Special Court takes cognizance of an offence under Section 4 **only upon a written complaint** by the Director, or by an officer of the Central/State Government authorised in writing — not on a police FIR.
- **s.45(1A) — often missed: no police officer shall investigate** an offence under the Act unless specifically authorised by the Central Government by general or special order, subject to prescribed conditions. Investigation belongs to the ED.
- **s.45(2):** the s.45(1) limitation on bail is *in addition to* the limitations under the Code or any other law.

ORIGINAL VS CURRENT — SECTION 45

As enacted, the twin conditions applied only to offences “punishable for a term of imprisonment of more than three years under **Part A of the Schedule.**” **Nikesh Tarachand Shah (2017)** struck that scheme down; the **2018 amendment** recast it to cover “any offence under this Act” and added the Rs. 1 crore relaxation; and **Vijay Madanlal Choudhary (27 Jul 2022)** upheld the revived twin conditions. The twin conditions are mandatory today — that is the governing position.

Section 46 — Application of the Code; Public Prosecutor

Save as otherwise provided, the provisions of the CrPC, 1973 (now the BNSS, 2023) — including as to bails and bonds — apply to proceedings before a Special Court, which is deemed a Court of Session; the person conducting the prosecution is deemed a Public Prosecutor. The Central Government may appoint a **Special Public Prosecutor** for any case

or class of cases. A person qualifies for appointment only after **not less than 7 years** in practice as an advocate, requiring special knowledge of law.

Section 47 — Appeal and Revision

The High Court may exercise, so far as applicable, all the appellate and revisional powers conferred by Chapters XXIX and XXX of the CrPC, 1973 (now the corresponding BNSS chapters) as if the Special Court within its jurisdiction were a Court of Session.



CHAPTER VIII — AUTHORITIES

Section 48 — Classes of Authorities

There are four classes of authorities for the purposes of the Act:

- (a) **Director or Additional Director or Joint Director;**
- (b) **Deputy Director;**
- (c) **Assistant Director;** and
- (d) such other class of officers as may be appointed for the purposes of the Act.

Section 49 — Appointment and Powers of Authorities

The Central Government appoints such persons as it thinks fit to be authorities. It may also authorise the Director / Additional / Joint / Deputy / Assistant Director to appoint authorities below the rank of Assistant Director. Authorities exercise their powers subject to the conditions and limitations the Central Government imposes.

Section 50 — Powers Regarding Summons, Production of Documents and Evidence

For the purposes of Section 13, the Director has the powers of a civil court (discovery and inspection; enforcing attendance including of bank/FI/company officers and examination on oath; compelling production of records; receiving evidence on affidavit; issuing commissions; other prescribed matters). The Director, Additional Director, Joint Director, Deputy Director or Assistant Director may summon any person whose attendance is considered necessary to give evidence or produce records in any investigation or proceeding.

- All persons summoned are bound to attend (personally or through authorised agents as directed), to state the truth on the subjects on which they are examined, and to produce the documents required; the proceedings are deemed judicial proceedings.
- **Impounding of records [s.50(5)]:** an officer may impound and retain records produced before him — but an **Assistant Director or Deputy Director** (i) cannot impound **without recording reasons**, and (ii) cannot retain records **beyond 3 months without the previous approval of the Director**.

LANDMARK CASE

Vijay Madanlal Choudhary (2022) upheld Section 50; statements recorded under it are admissible in evidence, and the officers recording them are not “police officers” for the purpose of the bar on confessions.

Section 51 — Jurisdiction of Authorities

Authorities exercise their powers and functions in accordance with directions the Central Government issues, which may be based on territorial area, classes of persons, classes of cases, or any other specified criterion.

Section 52 — Power of the Central Government to Issue Directions

The Central Government may issue orders, instructions and directions to the authorities for the proper administration of the Act — but **cannot** (a) require any authority to decide a particular case in a particular manner, or (b) interfere with the Adjudicating Authority's discretion. Adjudication stays independent.

Section 53 — Empowerment of Certain Officers

The Central Government may, by special or general order, empower an officer **not below the rank of Director** of the Central or a State Government to act as an authority under the Act; an officer below that rank may be empowered only where officers of Director rank or above are not available in the area.

Section 54 — Officers Empowered and Required to Assist

The following are empowered and required to assist the authorities in enforcing the Act:

- officers of the Customs and Central Excise Departments;
- officers appointed under s.5(1) of the NDPS Act, 1985;
- income-tax authorities under s.117(1) of the Income-tax Act, 1961;
- officers of recognised stock exchanges;
- officers of the Reserve Bank of India;
- officers of Police;
- officers of enforcement under s.36(1) of FEMA, 1999;
- officers of SEBI;
- officers of any other body corporate constituted or established under a Central or State Act; and
- such other officers of the Central/State Government, local authorities or banking companies as may be notified.

CHAPTER IX — RECIPROCAL ARRANGEMENTS WITH FOREIGN COUNTRIES

Section 55 — Definitions for This Chapter

- **“contracting State”** — any country or place outside India with which the Central Government has made arrangements through a treaty or otherwise;
- **“identifying”** — includes establishing proof that the property was derived from, or used in, the commission of an offence under Section 3;
- **“tracing”** — determining the nature, source, disposition, movement, title or ownership of property.

Section 56 — Agreements with Foreign Countries

The Central Government may enter into an agreement with the Government of any country outside India for (a) enforcing the provisions of the Act, and (b) exchange of information for prevention or investigation of offences under the Act or the corresponding foreign law — and may notify provisions for implementing the agreement, including conditions, exceptions or qualifications on the Chapter’s application to a contracting State.

Section 57 — Letter of Request to a Contracting State

During an investigation or proceeding, if the Investigating Officer (or a superior) applies to the **Special Court** stating that evidence may be available in a contracting State, the Special Court — on being satisfied — may issue a **letter of request** to the competent court or authority there to examine the facts, take the specified steps, and forward the evidence. Evidence so received is deemed evidence collected during the investigation.

Section 58 — Assistance to a Contracting State

Where the Central Government receives a letter of request from a court or authority in a contracting State for investigation or evidence, it may forward the request to the Special Court or to any authority under the Act for execution.

Section 58A — Special Court to Release the Property

Where, on closure of the criminal case or conclusion of a trial in a foreign criminal court, that court finds that the offence of money-laundering has not taken place, or that the property in India is not involved in money-laundering, the Special Court may — on application by the person concerned or the Director, after notice to the other party — order release of the property to the person entitled.

Section 59 — Reciprocal Service of Summons, Warrants; Transfer of Persons

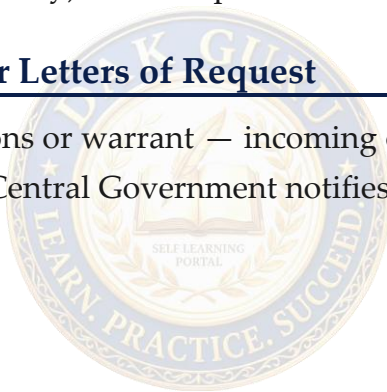
A Special Court may send a summons to an accused, an arrest warrant, a witness summons or a search warrant for service or execution in a contracting State (through the notified channel); and it must likewise serve or execute such processes received from a contracting State as if issued by another Indian court. An arrested person is dealt with under Section 19; things found in a search follow ss.17–18. Conditions may be imposed where the person transferred is a prisoner.

Section 60 — Attachment / Confiscation of Property Abroad or in India

Where property attached or confiscated under ss.5/8 is suspected to be in a contracting State, the Special Court may (on the Director's or Administrator's application) issue a letter of request for execution there. Conversely, on a foreign request concerning property in India derived from an offence committed in that State, the Central Government may forward it to the Director for execution; the authorities then trace and identify the property (by inquiry, investigation or survey), and Chapters III and V apply to it.

Section 61 — Procedure for Letters of Request

Every letter of request, summons or warrant — incoming or outgoing — is transmitted in such form and manner as the Central Government notifies.



CHAPTER X — MISCELLANEOUS

Section 62 — Punishment for Vexatious Search

An authority or officer who, **without reasons recorded in writing**, (a) searches or causes to be searched any building or place, or (b) detains, searches or arrests any person, is liable on conviction to imprisonment up to **2 years**, or fine up to **Rs. 50,000**, or both — for every such offence.

Section 63 — False Information / Failure to Give Information

- **s.63(1)**: wilfully and maliciously giving false information causing an arrest or search: imprisonment up to **2 years**, or fine up to **Rs. 50,000**, or both.
- **s.63(2)**: a person legally bound who (a) refuses to answer a question, (b) refuses to sign a statement, or (c) omits to attend or produce records on a s.50 summons, pays a penalty of **not less than Rs. 500**, extending to **Rs. 10,000**, for *each* default.
- **s.63(3)**: no penalty order without giving the person an **opportunity of being heard**.

Section 64 — Cognizance of Offences (ss. 62 & 63(1))

No court takes cognizance of an offence under s.62 or s.63(1) except with the **previous sanction of the Central Government**, which must grant or refuse sanction within **90 days** of receiving the request.

Section 65 — The Code to Apply

The provisions of the CrPC, 1973 (now the BNSS, 2023) apply — in so far as not inconsistent with the Act — to arrest, search and seizure, attachment, confiscation, investigation, prosecution and all other proceedings under the Act.

Section 66 — Disclosure of Information

The Director (or an authority specified by him) may furnish information obtained under the Act to (i) any officer, authority or body performing functions under any law on tax, duty, cess, foreign exchange dealings or NDPS enforcement, or (ii) any other officer/authority/body performing functions under any other law that the Central Government notifies in the public interest — where the information is necessary for that body to perform its functions.

Section 67 — Bar of Suits in Civil Courts

No suit lies in any civil court to set aside or modify any proceeding taken or order made under the Act, and no prosecution, suit or other proceeding lies against the Government or its officers for anything done, or intended to be done, in good faith under the Act.

Section 68 — Notices Not Invalid for Technical Defects

No notice, summons, order, document or other proceeding under the Act is invalid merely because of a mistake, defect or omission in it, if it is in substance and effect in conformity with the intent and purpose of the Act.

Section 69 — Recovery of Fines

A fine imposed under s.13 or s.63 that remains unpaid **6 months** from imposition may be recovered by the Director (or authorised officer) in the manner prescribed in **Schedule II of the Income-tax Act, 1961** for recovery of arrears — with all the powers of a **Tax Recovery Officer**.

Section 70 — Offences by Companies

Where a company contravenes the Act, **every person in charge of, and responsible to the company for, the conduct of its business**, as well as the company, is deemed guilty — unless the person proves the contravention took place without his knowledge or that he exercised all due diligence to prevent it. Where the contravention took place with the **consent, connivance or neglect** of a director, manager, secretary or other officer, that officer is also deemed guilty. “Company” includes a firm or other association of individuals; “director,” in relation to a firm, means a partner.

Section 71 — Overriding Effect

ONE-LINE SECTION, FREQUENT QUESTION

The provisions of the PMLA have effect **notwithstanding anything inconsistent in any other law** for the time being in force. The PMLA overrides.

Section 72 — Continuation of Proceedings on Death or Insolvency

If the person entitled to appeal (to the Appellate Tribunal or the High Court) dies or is adjudicated insolvent — before filing or during pendency — the **legal representatives, official assignee or official receiver** may prefer or continue the appeal in his place. Proceedings do not abate.

Sections 73–75 — Rule-making, Laying, and Removal of Difficulties

- **s.73:** the Central Government may make rules for carrying out the Act (records, thresholds, service conditions, appeal forms and fees, police authorisation conditions under s.45(1A), impounding, and more).
- **s.74:** every rule is laid before each House of Parliament for a total of **30 days**; Parliament may modify or annul it, without prejudice to things already done.
- **s.75:** the Central Government could remove difficulties by order — but no such order after **2 years** from commencement.



THE SCHEDULE — PREDICATE (SCHEDULED) OFFENCES

The Schedule is the engine room of the Act: no scheduled offence, no proceeds of crime, no money-laundering. Its structure today:

Part	Content today	Threshold
Part A	The long list of offences under the IPC/BNS, NDPS Act, Explosive Substances Act, Unlawful Activities (Prevention) Act, Arms Act, Wild Life (Protection) Act, Immoral Traffic (Prevention) Act, Prevention of Corruption Act, Customs (s.135), Copyright, Trade Marks, IT Act and many other Central Acts	None
Part B	Section 132 of the Customs Act, 1962 (false declaration / false documents)	Rs. 1 crore or more
Part C	Offences of cross-border implications — Part A offences (and property offences under Chapter XVII of the IPC/BNS) with cross-border character	None

HOW THE SCHEDULE EVOLVED — ANSWER OLD MCQS CAREFULLY

As enacted (2003): Part A held only **IPC ss.121/121A and nine NDPS offences**; everything else (murder, extortion, robbery, forgery, counterfeiting, Arms Act, Wild Life, Immoral Traffic, PC Act) sat in **Part B with a Rs. 30 lakh threshold**.

2009 amendment: **Part C** (cross-border offences) inserted.

2013 amendment: the **entire Part B list was moved into Part A** — the value threshold vanished for those offences.

Finance Act, 2015: Part B re-populated with **s.132 Customs Act alone**, threshold set at **Rs. 1 crore**. Later notifications keep adding Acts to Part A. Always check the current gazette text of the Schedule.

KYC / AML / CFT FOR POST OFFICE SAVINGS BANK

WHY THIS PART MATTERS MOST TO YOU

Section 12AA read with the PMLA and the PML Rules is the statutory basis for the **KYC, AML and CFT** norms that Post Office Savings Bank must follow. The FATF Mutual Evaluation (2024) specifically flagged that India Post must implement and be supervised for these norms — so expect the exam to link PMLA directly to POSB practice.

KYC Policy — the Four Elements

- Customer Acceptance Policy;
- Risk Management;
- Customer Identification Procedure (CIP);
- Monitoring of Transactions, Record Keeping and Reporting.

Customer Due Diligence (CDD)

CDD means every Post Office obtains satisfactory evidence and properly establishes, in its records, the identity and legal existence of any person doing business with it — substantiated by reliable and independent source documents.

KYC Norms — Documents

(c) *For all risk categories*

- Two photographs (AOF + KYC Form) — three for a Branch Office (extra photo on the specimen signature book);
- Aadhaar; PAN;
- Address proof — Aadhaar or PAN;
- If Aadhaar/PAN does not carry the present address — an Officially Valid Document (OVD), or a document usable for the limited purpose of address.

(b) *For high-risk categories*

- All of the above, plus proof of source of funds.

BENEFICIAL OWNER THRESHOLD

When the customer is a legal entity, the beneficial owner is identified using the **10%** “controlling ownership interest” threshold (reduced from 25% for companies and 15% for partnerships/trusts by the 2023 Amendment Rules), or any person exercising control through other means.

Risk Categorisation of Customers

Risk category	Balance / maturity value of all accounts	Re-KYC review cycle
Low	Does not exceed Rs. 50,000	Every 7 years
Medium	Above Rs. 50,000 up to Rs. 10 lakh	Every 5 years
High	Exceeds Rs. 10 lakh (proof of source of funds mandatory)	Every 2 years

Monitoring of Transactions — Records to be Maintained

- All cash transactions of value more than Rs. 10 lakh;
- A series of integrally-connected cash transactions each below Rs. 10 lakh but together exceeding Rs. 10 lakh within one month;
- Any transaction where forged/counterfeit currency, security or documents are used;
- Any attempted transaction involving forged/counterfeit currency, security or documents;
- All suspicious transactions (deposit, withdrawal, transfer, solvency/indemnity certificate, etc.) — irrespective of amount.

EXAM FOCUS — THE NUMBERS TO MEMORISE

Rs. 10 lakh cash / integrally-connected within one month; Re-KYC **7 / 5 / 2 years** for Low / Medium / High; risk cut-offs **Rs. 50,000 and Rs. 10 lakh**; records retained **5 years**.

PRACTICE MCQS — 75 QUESTIONS WITH ANSWER KEYS

All questions and keys below have been re-verified against the current position of law (August 2026). Questions whose earlier answers have become outdated are re-drafted — the change is flagged beside the answer key.

Part A — Chapters I & II (Q1 – Q15)

1. On which date did the Prevention of Money Laundering Act, 2002 come into force?
 - (a) 17th January 2003
 - (b) 1st June 2005
 - © 1st July 2005
 - (d) 1st April 2002
2. As per Section 2(1)(u) of PMLA, “Proceeds of Crime” refers to any property derived or obtained, directly or indirectly, by any person as a result of criminal activity relating to a:
 - (a) Cognizable Offence
 - (b) Scheduled Offence
 - © Non-bailable Offence
 - (d) Economic Offence
3. According to Section 3 of the PMLA, which of the following constitutes the offence of money-laundering?
 - (a) Concealment or possession of proceeds of crime
 - (b) Acquisition or use of proceeds of crime
 - © Projecting or claiming proceeds of crime as untainted property
 - (d) All of the above
4. What is the minimum punishment for money-laundering under Section 4?
 - (a) Rigorous imprisonment for 1 year
 - (b) Rigorous imprisonment for 3 years
 - © Simple imprisonment for 2 years
 - (d) Rigorous imprisonment for 5 years
5. If the proceeds of crime relate to an offence under Part A, Paragraph 2 of the Schedule (NDPS Act, 1985), the maximum punishment may extend to:
 - (a) 7 years
 - (b) 10 years
 - © 14 years
 - (d) Life imprisonment
6. Which of the following is NOT a separately listed category in the definition of “Person” under Section 2(1)(s)?
 - (a) An individual
 - (b) A Hindu Undivided Family
 - © A company

- (d) A minor child acting independently
7. Under the PMLA, “Placement, Layering and Integration” are typically associated with the stages of:
- (a) Investigation by ED
 - (b) Money laundering
 - © Asset attachment
 - (d) Judicial review
8. Is there an upper limit on the fine under Section 4 for money-laundering?
- (a) Yes, up to Rs. 5 lakh
 - (b) Yes, up to Rs. 10 lakh
 - © No — the Rs. 5 lakh cap was removed by the 2012 amendment
 - (d) Yes, double the amount laundered
9. As per Section 2(1)(d), “Attachment” means prohibition of transfer, conversion, disposition or movement of property by an order issued under:
- (a) Chapter II
 - (b) Chapter III
 - © Chapter V
 - (d) Chapter IV
10. Mr. X knowingly assists Mr. Y in concealing funds derived from drug trafficking but does not use the money himself. Is Mr. X guilty under Section 3?
- (a) No, because he did not use the money
 - (b) No, because the money belongs to Mr. Y
 - © Yes — knowingly assisting in concealment is itself the offence
 - (d) Yes, but only if he received a commission
11. Which authority investigates the offence of money-laundering under the PMLA?
- (a) Central Bureau of Investigation (CBI)
 - (b) Reserve Bank of India (RBI)
 - © Directorate of Enforcement (ED)
 - (d) SEBI
12. “Scheduled Offence” is defined under which sub-clause of Section 2(1)?
- (a) Section 2(1)(x)
 - (b) Section 2(1)(y)
 - © Section 2(1)(u)
 - (d) Section 2(1)(p)
13. In the PMLA, “property” includes:
- (a) Only tangible assets like land and cash
 - (b) Only intangible assets like patents
 - © Corporeal or incorporeal, movable or immovable assets, wherever located
 - (d) Only immovable property located in India

14. If property is taken or held outside the country, “proceeds of crime” includes the property equivalent in value held:

- (a) Within the country, or abroad
- (b) Only in the country where the crime was committed
- © In any tax haven
- (d) None of the above

15. Section 3 read with its Explanation treats money-laundering as a:

- (a) One-time offence
- (b) Continuing offence
- © Bailable offence
- (d) Compoundable offence

Answer Key – Part A

Q.No	Answer	Q.No	Answer
1	©	9	(b)
2	(b)	10	©
3	(d)	11	©
4	(b)	12	(b)
5	(b)	13	©
6	(d)	14	(a)
7	(b)	15	(b)
8	©		

Part B – Chapter III (Q16 – Q30)

16. Under Section 5(1), who is empowered to provisionally attach property involved in money-laundering?
- (a) Police Officer not below SP rank
 - (b) Director, or officer not below Deputy Director authorised by him
 - © Adjudicating Authority
 - (d) High Court Judge
17. For how long does a provisional attachment order under Section 5(1) remain valid?
- (a) 90 days
 - (b) 180 days
 - © 365 days
 - (d) 60 days
18. The requirement to forward a copy of the provisional attachment order, with the material, to the Adjudicating Authority in a sealed envelope immediately after attachment, is found in:
- (a) Section 5(2)
 - (b) Section 8(1)
 - © Section 17(1)
 - (d) Section 19(1)
19. Does provisional attachment under Section 5 prevent the person interested in immovable property from enjoying it?
- (a) Yes, immediate eviction is required
 - (b) No, enjoyment is barred strictly
 - © No – provided it does not frustrate eventual confiscation
 - (d) Yes, but only commercial properties
20. The Adjudicating Authority consists of a Chairperson and two other Members. Who appoints them?
- (a) The President of India
 - (b) The Central Government
 - © The Chief Justice of India
 - (d) The Director of Enforcement
21. On receipt of a complaint under Section 5(5), the Adjudicating Authority serves a notice calling upon the person to indicate sources of income within a period of not less than:
- (a) 15 days
 - (b) 30 days
 - © 45 days
 - (d) 60 days
22. Under Section 6, a person qualifies for appointment as Member of the Adjudicating Authority if he:
- (a) Is qualified to be a District Judge

- (b) Is a Member of the Indian Legal Service (Grade I)
- © Possesses prescribed qualifications in finance/accountancy/administration
- (d) Any of the above

23. The term of office of the Chairperson and Members of the ADJUDICATING AUTHORITY is:

- (a) 3 years or age 62
- (b) 5 years or age 65, whichever is earlier
- © 4 years or age 60
- (d) 6 years or age 70

24. Under Section 8(3), if the Adjudicating Authority confirms the attachment, it continues during investigation for a period not exceeding:

- (a) 90 days
- (b) 180 days
- © 365 days
- (d) Indefinitely, until court order

25. On confiscation under Section 9, all rights and title in the property vest in:

- (a) The State Government
- (b) The Central Government
- © The Directorate of Enforcement
- (d) The scheduled bank holding it

26. Who is appointed under Section 10 to manage confiscated property?

- (a) The Receiver
- (b) The Custodian
- © The Administrator (officer not below Joint Secretary)
- (d) The Manager

27. For summons and evidence, the Adjudicating Authority has the same powers as which court?

- (a) Criminal Court under CrPC
- (b) Civil Court under CPC, 1908
- © Consumer Court
- (d) High Court

28. If a Member of the Adjudicating Authority resigns, the vacancy must be filled:

- (a) Within 1 month
- (b) Within 3 months
- © Within 6 months
- (d) As soon as possible, per the Act's scheme

29. Under Section 5(4), does provisional attachment interfere with the rights of a bona-fide third party claiming interest in the property?

- (a) Yes, all rights are suspended
- (b) Nothing in the section prevents enjoyment of the immovable property
- © Third parties have no standing under PMLA

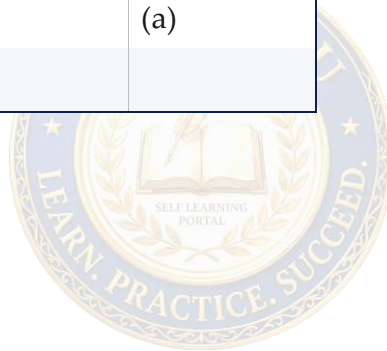
(d) Only if the third party is a relative

30. Where the provisional attachment order is confirmed, the Director shall forthwith take:

- (a) Possession of the property
- (b) A photograph of the property
- © A signature of the accused
- (d) A bond from the bank

Answer Key – Part B

Q.No	Answer	Q.No	Answer
16	(b)	24	©
17	(b)	25	(b)
18	(a)	26	©
19	©	27	(b)
20	(b)	28	(b)
21	(b)	29	(b)
22	(d)	30	(a)
23	(b)		



Part C – Chapter V (Q31 – Q45)

- 31. Under Section 16 (Power of Survey), an authority may enter a place only on recorded reason to believe that:**
- (a) An offence under Section 3 has been committed there
 - (b) The person is about to abscond
 - © The act merely resembles money laundering
 - (d) Records must exist there
- 32. Under Section 17, if it is not practicable to seize a record or property, the authorised officer may make an order to:**
- (a) Confiscate the property immediately
 - (b) Freeze such property or record
 - © Arrest the owner immediately
 - (d) Destroy the records
- 33. Under Section 18 (Search of Persons), if the person to be searched so requires, they must be taken within 24 hours to:**
- (a) The nearest police station
 - (b) The Director of Enforcement
 - © A Gazetted Officer superior in rank, or a Magistrate
 - (d) The Adjudicating Authority
- 34. Under Section 19, an officer may arrest only on recorded reason to believe, based on material in his possession, that the person is:**
- (a) Guilty of an offence punishable under the PMLA
 - (b) Planning to leave the country
 - © Hiding proceeds of crime
 - (d) A habitual offender
- 35. A person arrested under Section 19 must be produced before the Special Court or Magistrate within:**
- (a) 12 hours
 - (b) 24 hours (excluding journey time)
 - © 48 hours
 - (d) 7 days
- 36. Under Sections 20–21, seized property/records may be retained for a period not exceeding ____ unless the Adjudicating Authority permits further retention:**
- (a) 90 days
 - (b) 180 days
 - © 365 days
 - (d) 60 days

- 37. Under Section 24, in the case of a person charged with money-laundering, the burden of proving that the proceeds of crime are untainted lies on:**
- (a) The prosecution (ED)
 - (b) The accused
 - © The police
 - (d) The court
- 38. Under Section 17(1), can the authorised officer break open the lock of any door, box, locker or safe if the keys are not available?**
- (a) No — it violates privacy
 - (b) Only with a specific court order
 - © Yes — while exercising the power of search
 - (d) No — they must wait for the owner
- 39. Under Section 21, who may order release of seized records to the person from whom they were seized, once no longer needed?**
- (a) The Police Inspector
 - (b) The Special Court or the Adjudicating Authority (Director may withhold 90 days)
 - © The Bank Manager
 - (d) The District Magistrate
- 40. Section 22 raises presumptions that, for records/property found in a person's possession:**
- (a) They belong to that person
 - (b) Their contents are true
 - © The signature/handwriting is that person's
 - (d) All of the above
- 41. Under Section 19(2), the arresting officer must forward a copy of the arrest order and the material to:**
- (a) The Adjudicating Authority, in a sealed envelope
 - (b) The Central Government
 - © The Chief Justice
 - (d) The CBI Director
- 42. Under Section 23, if one of several inter-connected transactions is proved to be involved in money-laundering:**
- (a) The others are presumed valid
 - (b) The remaining transactions are presumed to form part of the same inter-connected transactions
 - © The burden shifts to the prosecution
 - (d) The case is dismissed
- 43. Which provision empowers the authority to place marks of identification on records during a survey?**
- (a) Section 16(1)(ii) [survey powers]
 - (b) Section 17(1)

© Section 19(1)

(d) Section 50

44. Before searching a person under Section 18, the authorised officer must:

(a) Handcuff the person

(b) Inform the person of the right to be taken before a Gazetted Officer/Magistrate if they so require

© Call a lawyer

(d) Obtain a medical certificate

45. If a person is arrested under Section 19, the grounds of arrest must be:

(a) Kept secret until trial

(b) Informed to him as soon as may be — and, per Pankaj Bansal (2023), furnished in writing

© Published in a newspaper

(d) Sent to his employer only

Answer Key — Part C

Q.No	Answer	Q.No	Answer
31	(a)	39	(b)
32	(b)	40	(d)
33	©	41	(a)
34	(a)	42	(b)
35	(b)	43	(a)
36	(b)	44	(b)
37	(b)	45	(b)
38	©		

Part D — Appellate Tribunal & Special Courts (Q46 – Q60)

- 46. Under Section 26, an appeal to the Appellate Tribunal against an order of the Adjudicating Authority lies within:**
- (a) 30 days
 - (b) 45 days
 - (c) 60 days
 - (d) 90 days
- 47. The Appellate Tribunal is not bound by the CPC, 1908, but is guided by:**
- (a) The Indian Evidence Act
 - (b) The principles of natural justice
 - (c) The CrPC
 - (d) Directives of the ED
- 48. Under Section 43, the Central Government designates Courts of Session as Special Courts in consultation with:**
- (a) The Supreme Court of India
 - (b) The Chief Justice of the High Court
 - (c) The State Government
 - (d) The Law Ministry
- 49. The “twin conditions” for bail under Section 45 require the Public Prosecutor to be heard, and the court to be satisfied that:**
- (a) The accused has paid the fine
 - (b) There are reasonable grounds to believe the accused is not guilty and is unlikely to offend on bail
 - (c) The accused has surrendered his passport
 - (d) The investigation is complete
- 50. Under the current framework, who appoints the Chairperson and Members of the Appellate Tribunal, and on whose recommendation?**
- (a) The President, on the CJI’s advice
 - (b) The Central Government, on the recommendation of a Search-cum-Selection Committee (Tribunal Reforms Act, 2021)
 - (c) The Chief Justice of India directly
 - (d) The Lok Sabha Speaker
- 51. An appeal against a decision of the Appellate Tribunal lies to the High Court under Section 42 within:**
- (a) 30 days
 - (b) 45 days
 - (c) 60 days
 - (d) 90 days

- 52. Under Section 44, the Special Court takes cognizance of an offence under Section 34 only upon:**
- (a) A police report (FIR)
 - (b) A written complaint by the Director or an authorised officer
 - © Suo motu action by the Judge
 - (d) A petition by a victim
- 53. Under the Tribunal Reforms Act, 2021, the Chairperson / a Member of the Appellate Tribunal holds office for:**
- (a) 5 years or until age 65
 - (b) 4 years, or until age 70 (Chairperson) / 67 (Member), whichever is earlier
 - © 3 years or until age 62
 - (d) 6 years or until age 70
- 54. The Appellate Tribunal has the same powers as a Civil Court in respect of:**
- (a) Summoning and enforcing attendance
 - (b) Discovery and production of documents
 - © Receiving evidence on affidavits
 - (d) All of the above
- 55. Must PMLA offences be tried only by the Special Court constituted for the area where the offence was committed?**
- (a) No, any court can try them
 - (b) Yes — Section 44 mandates trial by the Special Court
 - © Only if the amount exceeds Rs. 1 crore
 - (d) Only if the accused consents
- 56. A Special Public Prosecutor under Section 46 must have been in practice as an advocate for not less than:**
- (a) 5 years
 - (b) 7 years
 - © 10 years
 - (d) 3 years
- 57. Can the Special Court try the scheduled offence and the money-laundering offence simultaneously?**
- (a) No — the scheduled offence must be tried first
 - (b) No — different courts must try them
 - © Yes — Section 44 allows trial of both by the Special Court
 - (d) Only if the accused requests it
- 58. Under the current framework, the Chairperson or a Member of the Appellate Tribunal is removed by:**
- (a) The Central Government, on the recommendation of the Search-cum-Selection Committee, after inquiry (Tribunal Reforms Act, 2021)
 - (b) The President on the PM's advice

- © The Chief Justice of India directly
- (d) The Lokpal

59. Under Section 35(2)(g)–(h), the Appellate Tribunal has the power to:

- (a) Dismiss a representation for default or decide it ex parte, and set such orders aside
- (b) Arrest the appellant
- © Impose criminal penalties
- (d) Amend the PMLA

60. Offences under the PMLA are:

- (a) Cognizable and bailable
- (b) Non-cognizable and bailable
- © Cognizable and non-bailable
- (d) Non-cognizable and non-bailable

Answer Key — Part D

Q.No	Answer	Q.No	Answer
46	(b)	54	(d)
47	(b)	55	(b)
48	(b)	56	(b)
49	(b)	57	©
50	(b)	58	(a)
51	©	59	(a)
52	(b)	60	©
53	(b)		

Part E – Reporting Entities & Miscellaneous (Q61 – Q75)

61. Under Section 12, a reporting entity maintains records of all transactions for a period of ____ from the date of the transaction:
- (a) 2 years
 - (b) 5 years
 - (c) 10 years
 - (d) 7 years
62. Which section of the PMLA mandates verification of identity (KYC) by reporting entities?
- (a) Section 11A
 - (b) Section 12AA
 - (c) Section 13
 - (d) Section 15
63. On failure to comply with Section 12 obligations, the Director may impose a monetary penalty under Section 13(2)(d) of:
- (a) Not less than Rs. 10,000, up to Rs. 1 lakh, for each failure
 - (b) Not less than Rs. 1 lakh, up to Rs. 5 lakh
 - (c) Fixed Rs. 50,000
 - (d) Double the transaction amount
64. Under Section 12AA, a reporting entity must perform Enhanced Due Diligence prior to the commencement of:
- (a) Any domestic transaction
 - (b) A specified transaction
 - (c) Hiring new employees
 - (d) Opening a salary account
65. Who falls within “Reporting Entity” under Section 2(1)(wa)?
- (a) Banking company
 - (b) Financial institution
 - (c) Intermediary (e.g., stockbroker)
 - (d) All of the above
66. Under Section 14, are reporting entities and their staff liable to civil/criminal proceedings for furnishing information to the Director in good faith?
- (a) Yes, if the customer sues
 - (b) No — they are protected from such liability
 - (c) Yes, for breach of confidentiality
 - (d) Only if the information proves false
67. Section 63 punishment for wilfully and maliciously giving false information causing arrest or search may extend to:
- (a) Imprisonment for 2 years and/or fine up to Rs. 50,000
 - (b) Imprisonment for 3 years and fine up to Rs. 1 lakh

- (c) Only a fine of Rs. 10,000
- (d) Imprisonment for 6 months

68. Under Section 70 (Offences by Companies), who is deemed guilty when a company commits an offence?

- (a) Only the company as a legal entity
- (b) Every person in charge of and responsible for the conduct of the business, as well as the company
- (c) Only the lowest-level employee
- (d) The shareholders

69. Under Section 54, officers empowered and required to assist the authorities include:

- (a) Officers of Customs and Central Excise
- (b) Officers of Police
- (c) Officers of RBI and SEBI
- (d) All of the above

70. Under Section 50, all proceedings before the Director or Adjudicating Authority are deemed to be:

- (a) Administrative proceedings
- (b) Judicial proceedings
- (c) Informal inquiries
- (d) Arbitration proceedings

71. Section 67 bars which court from entertaining any suit or proceeding on matters the Director/Adjudicating Authority/Tribunal can determine?

- (a) High Court
- (b) Civil Court
- (c) Criminal Court
- (d) Consumer Court

72. Under Section 66, the Director may furnish information to other authorities if satisfied it is necessary for:

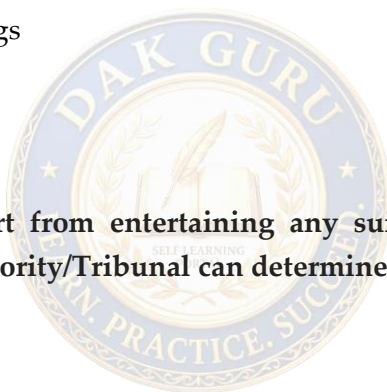
- (a) Publishing in the media
- (b) Performing functions under any other law
- (c) Creating a public database
- (d) Harassing the accused

73. If the accused dies or becomes insolvent, the PMLA proceedings (Section 72):

- (a) Abate immediately
- (b) Continue against the legal representative or official assignee
- (c) Transfer to the Supreme Court
- (d) End with return of the property

74. The confidentiality obligation on reporting entities does NOT bar:

- (a) Disclosure to the Director under the PMLA
- (b) Disclosure to private investigators



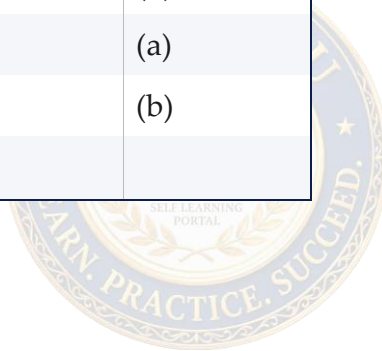
- (c) Disclosure to the media
- (d) Disclosure to competitors

75. Under Section 11A, responsibility for ensuring compliance with client verification (KYC) rests on:

- (a) The client
- (b) The Reporting Entity
- (c) The Aadhaar authority
- (d) The Police

Answer Key – Part E

Q.No	Answer	Q.No	Answer
61	(b)	69	(d)
62	(a)	70	(b)
63	(a)	71	(b)
64	(b)	72	(b)
65	(d)	73	(b)
66	(b)	74	(a)
67	(a)	75	(b)
68	(b)		



SOURCES & VERIFICATION RECORD (AUGUST 2026)

Every currency-sensitive statement in this booklet was checked against the following primary or authoritative sources. Dates in brackets are the notification/decision dates.

Topic	Source verified against
Act, dates, extent	Prevention of Money-Laundering Act, 2002 (Act 15 of 2003), bare Act / India Code; in force 1 Jul 2005
VDA service providers as reporting entities	Ministry of Finance (Dept of Revenue) gazette notification dated 7 Mar 2023
Practising CA/CS/CMA as reporting entities	Notification S.O. 2036(E) dated 3 May 2023 (F.No. P-12011/12/2022-ES Cell-DOR)
Beneficial owner 10% threshold; foreign PEPs; group-wide programmes; Principal Officer	PML (Maintenance of Records) Amendment Rules, 2023 — S.O. 1074(E) dated 7 Mar 2023; Second Amendment Rules dated 4 Sep 2023; further amendment 17 Oct 2023
Twin conditions upheld; s.19, s.5, s.50, s.24 upheld; ECIR position	Vijay Madanlal Choudhary v. Union of India, Supreme Court, 27 Jul 2022
Written grounds of arrest	Pankaj Bansal v. Union of India (SC, 3 Oct 2023); Prabir Purkayastha v. State (NCT of Delhi) (SC, 15 May 2024)
Appellate Tribunal merger and tenure	Finance Act, 2016 (merger with SAFEMA ATFP); Tribunal Reforms Act, 2021; Tribunal (Conditions of Service) Rules, 2021; Dept of Revenue / ATFP official pages
FATF position on India Post	FATF Mutual Evaluation Report of India, adopted Sep 2024 (regular follow-up)
Criminal procedure code	Bharatiya Nagarik Suraksha Sanhita, 2023, in force 1 Jul 2024, replacing the CrPC 1973

OPEN / WATCH ITEMS

The Schedule of predicate offences and the reporting-entity list are expanded by notification from time to time — always confirm the latest gazette before operational reliance.

Review petitions against parts of Vijay Madanlal Choudhary (ECIR supply; reverse burden) remain pending before the Supreme Court; the 2022 ruling holds the field as of this edition.